

LOAN AGREEMENT

Lakeshore Bank & Trust (Lender) and Whitmore Products Company (Borrower).

Loan number	614066144
Agreement date	12/15/2024
Facility type	Term loan
Interest basis	variable
The floating rate is fixed via an interest-rate swap; the effective fixed rate is the stated rate below.	
Payment frequency	monthly
Maturity date	12/31/2044
Principal amount	\$3,500,000.00
Stated interest rate	10.62%
Financial covenant	Maximum loan-to-collateral ratio
Requirement	not greater than 75.00%
Testing frequency	annual
For this covenant, the ratio equals year-end outstanding principal divided by the recorded cost of pledged collateral.	

ARTICLE 1. DEFINITIONS

1.1 As used in this instrument, the following terms have the meanings set forth below. Accounting terms not specifically defined herein shall be construed in accordance with accounting principles generally accepted in the United States, consistently applied.

1.2 Capitalized terms used and not otherwise defined herein have the meanings assigned to them in this Section. Terms defined in the singular have the corresponding meaning when used in the plural, and references to any agreement or instrument include all amendments, restatements, and supplements thereto.

1.3 Any consent or approval required hereunder shall not be unreasonably withheld, conditioned, or delayed, and shall be deemed given if no written objection is delivered within 60 days after request.

ARTICLE 2. PARTIES; AUTHORITY

2.1 The persons executing this instrument on behalf of each party represent and warrant that they are duly authorized to do so and that this instrument constitutes the legal, valid, and binding obligation of such party, enforceable in accordance with its terms.

2.2 Each party represents that it is duly organized, validly existing, and in good standing under the laws of the state of its formation, and that the execution and delivery of this instrument have been duly authorized by all necessary action.

2.3 Delivery of an executed counterpart of this instrument by electronic transmission is effective as delivery of a manually executed counterpart.

ARTICLE 3. PAYMENT TERMS

3.1 All amounts payable hereunder shall be paid without notice, demand, deduction, or offset, in lawful money of the United States, at the address designated for payment or such other place as may be designated in writing from time to time.

3.2 Payments received shall be applied first to costs and expenses recoverable hereunder, then to accrued interest and charges, and the balance to the obligation then due, notwithstanding any contrary designation by the payor.

3.3 If more than one person or entity constitutes a party hereunder, the obligations of each such person or entity are joint and several.

ARTICLE 4. ESCROWS AND IMPOUNDS

4.1 Upon request, the obligor shall deposit monthly one-twelfth of the annual taxes, assessments, and insurance premiums, as estimated by the holder, to be held without interest and applied to such charges as they become due;

deficiencies shall be paid on demand.

4.2 All cure periods hereunder run concurrently with any statutory periods, and in no event shall a monetary default remain uncured more than 60 days after written notice thereof.

4.3 Amounts received in respect of the Property shall be applied in the order provided in the principal terms, with any excess remitted to the party entitled thereto within 30 days.

ARTICLE 5. COVENANTS

5.1 The Borrower shall test the maximum loan-to-collateral ratio annual. The ratio is outstanding principal divided by the recorded cost of pledged collateral and shall not exceed 75.00%. The Borrower shall deliver the calculation and its supporting trial balance with the annual financial statements.

5.2 No modification of this instrument is effective unless in a writing signed by the party against whom enforcement is sought, and no course of dealing shall be construed as a modification.

5.3 Any obligation that by its nature extends beyond the expiration or earlier termination hereof survives such expiration or termination.

ARTICLE 6. COLLATERAL; SECURITY INTEREST

6.1 The Borrower shall execute, deliver, and record such mortgages, deeds of trust, financing statements, and other instruments as may reasonably be required to create, perfect, and maintain the priority of the liens and security interests contemplated hereby, and shall not permit any other lien upon the collateral other than liens for taxes not yet due and payable.

6.2 As security for the full and punctual payment and performance of all obligations hereunder, the Borrower hereby grants a continuing first-priority security interest in and lien upon the Property, all fixtures and equipment now or hereafter located thereon, all leases, rents, revenues, accounts, and general intangibles arising therefrom, and all proceeds of the foregoing.

6.3 Each party shall, within 60 days after written request, execute such further assurances and additional instruments as may reasonably be required to carry out the intent of this instrument.

ARTICLE 7. INSURANCE

7.1 Each policy required hereunder shall name the other party as an additional insured or loss payee, as its interests may appear, and shall provide that it may not be cancelled or materially modified without thirty days' prior written notice.

7.2 At all times during the term, insurance shall be maintained with financially sound and reputable insurers, in such amounts and against such risks as are customarily carried by similarly situated parties, including property insurance on a replacement cost basis and commercial general liability coverage, with certificates delivered upon request.

7.3 The prevailing party in any action to enforce this instrument shall recover its reasonable attorneys' fees and costs, including fees on appeal and in any bankruptcy proceeding.

ARTICLE 8. TAXES AND ASSESSMENTS

8.1 All real and personal property taxes, assessments, and governmental charges levied upon the Property or the interests created hereby shall be paid before delinquency, and evidence of such payment shall be furnished upon request.

8.2 Any amount not paid within 60 days after its due date shall bear a late charge equal to 3 percent of the amount past due, which the parties agree is a reasonable estimate of administrative cost and not a penalty.

ARTICLE 9. DEFAULT; REMEDIES

9.1 The failure to insist upon strict performance of any provision shall not constitute a waiver of any subsequent

breach, and no waiver shall be effective unless in writing and signed by the party against whom enforcement is sought.

9.2 Upon the occurrence and during the continuance of an event of default, the non-defaulting party may exercise any and all rights and remedies available at law, in equity, or under this instrument, which rights are cumulative and may be exercised concurrently or successively.

ARTICLE 10. NOTICES

10.1 All notices required or permitted hereunder shall be in writing and shall be deemed given when delivered personally, one business day after deposit with a nationally recognized overnight courier, or three business days after deposit in the United States mail, certified, return receipt requested, addressed to the addresses set forth herein.

ARTICLE 11. GOVERNING LAW

11.1 This instrument shall be governed by and construed in accordance with the laws of the state in which the Property is located, without regard to conflicts of law principles, and the parties submit to the jurisdiction of the courts of that state.

ARTICLE 12. MISCELLANEOUS

12.1 Time is of the essence of each provision of this instrument. The captions are for convenience only and do not define or limit the scope of any provision. This instrument binds and benefits the parties and their permitted successors and assigns.

12.2 This instrument contains the entire agreement of the parties with respect to its subject matter and supersedes all prior negotiations and understandings. If any provision is held invalid, the remainder shall continue in full force. This instrument may be executed in counterparts, each of which is an original.

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

D. Whitfield

Borrower: Whitmore Products Company

D. Okafor

Lender: Lakeshore Bank & Trust